Derivatives

A type of financial instrument, the value of derivatives is based on the price of an underlying asset or index. They are commonly used by investors to spread risk, and/or to speculate.

How it works

Investors may buy derivatives in order to reduce the amount of volatility in their portfolios, since they can agree on a price for a deal in the present that will, in effect, happen in the future, or to try to increase their gains through speculation. Derivatives can enable an investor to gain exposure to a market via a smaller outlay than if they bought the actual underlying asset. The most common are futures and options—leveraged products in which the investor puts down a small proportion of the value of the underlying asset and hopes to gain by a future rise in the value of that asset.

Derivatives for hedging

Companies use derivatives to protect against cost fluctuations by fixing a price for a future deal in advance. By settling costs in this way, buyers gain protection—known as a hedge—against unexpected rises or falls in, for example, the foreign exchange market, interest rates, or the value of the commodity or product they are buying.

A US-based airline company reviews its stock levels and decides that it will need to buy jet fuel for its fleet of planes in three months' time.

To protect itself from potential future price increases, it can buy fuel at today's prices for delivery and payment at a future date, known as a forward transaction. If the price of fuel then falls instead of rising, however, the company will be locked in to paying a higher price.